Courtesy translation (English) of the Spanish-language official letter published on this site. It is provided for information only and is not an official or certified translation; the Spanish original prevails. Bracketed text is a translator's note. The original page 1 and page 2 are marked below.

SE — Secretaría de Economía

(Ministry of Economy)

FEDERAL DELEGATION IN
HERMOSILLO, SONORA
MINING SUBDIRECTORATE

Official letter No. 146.8/2016-4851.
Admvo. 4356.
Subject: As indicated.
Hermosillo, Sonora, August 24, 2016.

[Recipient details omitted for privacy]

In relation to your written requests submitted to this Mining Subdirectorate on June 10 and August 17, 2016, in which you request that various information relating to the substance "PERLITA" (perlite) be provided to you, the following is reported:

In terms of Article 4 of the Mining Law, which establishes the following:

The following are minerals or substances that, in veins, beds, masses or deposits, constitute deposits distinct from the components of the land:

I. Minerals or substances from which are extracted antimony, arsenic, barium, beryllium, bismuth, boron, bromine, cadmium, cesium, cobalt, copper, chromium, scandium, tin, strontium, fluorine, phosphorus, gallium, germanium, hafnium, iron, indium, iridium, yttrium, lanthanides, lithium, magnesium, manganese, mercury, molybdenum, niobium, nickel, gold, osmium, palladium, silver, platinum, lead, potassium, rhenium, rhodium, rubidium, ruthenium, selenium, sodium, thallium, tantalum, tellurium, titanium, tungsten, vanadium, zinc, zirconium and iodine;

II. The following industrial-use minerals or groups of minerals: actinolite, alum, alunite, amosite, andalusite, anhydrite, anthophyllite, sulfur, barite, bauxite, biotite, bloedite, boehmite, borates, brucite, carnallite, celestite, kyanite, cordierite, corundum, chrysotile, crocidolite, chromite, quartz, dolomite, epsomite, staurolite, phlogopite, phosphates, fluorite, glaserite, glauberite, graphite, garnets, halite, hydromagnesite, kainite, kieserite, langbeinite, magnesite, micas, mirabilite, mullite, muscovite, nitratine, olivines, palygorskite, pyrophyllite, polyhalite, sepiolite, sillimanite, sylvite, talc, tachyhydrite, thenardite, tremolite, trona, vermiculite, witherite, wollastonite, gypsum, zeolites and zircon;

II BIS. Diatomite;

III. (Repealed);

IV. Precious stones: aquamarine, alexandrite, amethyst, amazonite, aventurine, beryl, chrysoberyl, crocidolite, diamond, dioptase, epidote, scapolite, emerald, spinel, spodumene, jadeite, kunzite, lapis lazuli, malachite, morganite, olivine, opal, riebeckite, ruby, sodalite, tanzanite, topaz, tourmaline, turquoise, vesuvianite and sapphire;

V. Rock salt;

VI. Products derived from the decomposition of rocks when their exploitation requires underground works, such as clays of all varieties, such as kaolin and montmorillonites, as well as quartz sands, feldspars and plagioclases;

VII. The following mineral or organic materials, capable of being used as fertilizers: apatite, collophane, phosphorite, francolite, variscite, wavellite and guano;

VIII. Mineral coal in all its varieties;

IX. Any others that the Federal Executive determines, by decree to be published in the Official Gazette of the Federation (Diario Oficial de la Federación), in view of their industrial use due to the development of new technologies, their pricing in international markets, or the need to promote the rational exploitation and preservation of non-renewable resources for the benefit of society.

Those who are carrying out the exploration or exploitation of the minerals or substances referred to in item IX above, on the basis of the provisions of common law, shall have a preferential right to obtain the corresponding mining concession, provided that they apply for it under the terms of this Law and its Regulations.

And of Articles 8 and 27 of the Political Constitution of the United Mexican States, which establish the following:

Article 8

Public officials and employees shall respect the exercise of the right of petition, provided that it is made in writing, in a peaceful and respectful manner; but in political matters only citizens of the Republic may make use of that right.

NAYARIT No. 251, BETWEEN FRANCISCO MONTEVERDE AND IGNACIO ROMERO, COLONIA SAN BENITO, C.P. 83190, HERMOSILLO, SONORA. — TEL. 01(662) 210-82-78, FAX 210-82-79.

Every petition must be answered by a written decision of the authority to which it was addressed, which is obliged to make it known to the petitioner within a brief period.

Article 27, fourth and sixth paragraphs

The Nation holds direct ownership of all natural resources of the continental shelf and the submarine shelves of the islands; of all minerals or substances that, in veins, beds, masses or deposits, constitute deposits whose nature is distinct from the components of the land, such as the minerals from which metals and metalloids used in industry are extracted; deposits of precious stones, rock salt and the salt flats formed directly by marine waters; products derived from the decomposition of rocks when their exploitation requires underground works; mineral or organic deposits of materials capable of being used as fertilizers; solid mineral fuels; petroleum and all solid, liquid or gaseous hydrocarbons; and the space above the national territory, to the extent and under the terms set by International Law.

In the cases referred to in the two preceding paragraphs, the dominion of the Nation is inalienable and imprescriptible, and the exploitation, use or utilization of the resources concerned, by private individuals or by companies incorporated under Mexican laws, may only be carried out through concessions granted by the Federal Executive, in accordance with the rules and conditions established by law, except for radio broadcasting and telecommunications, which shall be granted by the Federal Telecommunications Institute. The legal rules on works or exploitation of the minerals and substances referred to in the fourth paragraph shall regulate the execution and verification of those carried out or to be carried out from their entry into force, regardless of the date of granting of the concessions, and their non-observance shall give rise to the cancellation of the latter. The Federal Government has the power to establish national reserves and to abolish them. The corresponding declarations shall be made by the Executive in the cases and under the conditions provided by law. In the case of radioactive minerals, no concessions shall be granted. The planning and control of the national electric system, as well as the public service of electric power transmission and distribution, belong exclusively to the Nation; in these activities no concessions shall be granted, without prejudice to the State being able to enter into contracts with private parties under the terms established by the laws, which shall determine the manner in which private parties may participate in the other activities of the electric industry.

By virtue of what is stated in the foregoing articles, the substance “PERLITA” (perlite) is not subject to the provisions of the Mining Law and its Regulations.

Likewise, in terms of Article 27 of the Constitution, the Executive, through the Ministry of Economy (*Secretaría de Economía*), shall grant mining concessions for the minerals or substances contemplated in Article 4 of the Mining Law.

Therefore, this Ministry has no authority to give an opinion on the exploration, exploitation and processing of substances not contemplated in Article 4 of the Mining Law.

R e s p e c t f u l l y ,
THE MINING SUBDIRECTOR

[signature]

ING. JUAN RASCÓN CAMPA

C.c.p. File copy (*Minuta*).

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